

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the Interstate Transmission System	))))	Docket No. RM26-4-000
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**COMMENTS OF
INDIANA ENERGY ASSOCIATION**

Introduction

The Indiana Energy Association (“IEA”)¹ appreciates the opportunity to comment on the Federal Energy Regulatory Commission’s (“FERC”) Advanced Notice of Proposed Rulemaking (“ANOPR”) regarding the interconnection of large loads to the transmission system.

The IEA supports FERC’s goal of ensuring that large new loads — including industrial, manufacturing, and data-center projects — can interconnect efficiently and reliably. However, as noted in NARUC’s November 11, 2025 resolution on this topic, the ANOPR raises important questions about jurisdictional boundaries under the Federal Power Act (“FPA”), which sets out clear delineations of federal and state regulatory authority. Moreover, states such as Indiana are demonstrating that state procedures are proactively and effectively addressing new large load customer interconnections, rendering significant FERC intrusions into state jurisdiction unnecessary and potentially duplicative.

The IEA respectfully urges FERC to ensure that any final rule:

- Recognizes that states are proactively addressing large load customer issues.
- Preserves state jurisdiction over service to, and rates for, retail customers (of all magnitudes) and local distribution facilities.

¹ For purposes of these comments, the IEA consists of the following electric utility members of the association: Duke Energy Indiana, LLC, Indianapolis Power & Light Company d/b/a AES Indiana, Northern Indiana Public Service Company, and Southern Indiana Gas & Electric Company d/b/a CenterPoint Energy Indiana South.

The IEA also respectfully encourages the FERC to continue to focus on (1) improvements to regional transmission operator (“RTO”) interconnection queues — which states do not have jurisdiction to directly address — and (2) encouraging additional needed transmission investments.

1. Indiana’s Proactive Actions to Address Large Load Customers

Indiana has demonstrated that it is proactively and effectively addressing large load customer issues, through legislation, unique tariffs, and expedited regulatory proceedings. For example, in 2024, the Indiana General Assembly passed legislation providing for expedited contract approvals (and expedited generation resource approvals) for large load customers, while also protecting retail customers by requiring a large load customer to provide adequate assurance of payment for eighty percent (80%) of the cost to serve such a customer. (*See Ind. Code ch. 8-1-7.9*) Earlier in 2024, the Indiana Utility Regulatory Commission (“IURC”) approved an Indiana Michigan Power Company proposal and tariff (modified through settlement) that applies specifically to large load customers. (*See In Re Indiana Michigan Power Co.*, IURC Cause No. 46097, 2025 IND. PUC LEXIS 33 (Feb. 19, 2025)). This order and the approved tariff recognize the increased energy needs of large load customers while also requiring financial commitments from such customers to protect the utility’s existing customers.

In addition, for decades the IEA electric utilities have used individualized electric service contracts, approved by the IURC, to address electric interconnection and power supply to large, sophisticated customers. As noted above, the 2024 Indiana legislation also provides for expedited IURC approvals of such individualized contracts which can be customized to meet the unique needs of both the customers and the utilities. While the ANOPR asserts a desire to standardize large load customer interconnections, the IEA respectfully submits that unique contracts between a utility and its large load retail customers, scrutinized by state regulators, will better serve the large load customers, the utility, and the utility’s other retail customers.

2. Importance of Maintaining the Existing Federal–State Jurisdictional Balance

The ANOPR asserts that large load interconnections are a “critical component of open access transmission service,” like electric generator interconnections standardized in Order No. 2003,

requiring minimum terms and conditions to ensure non-discriminatory transmission service. There are significant differences, however, between electric generator connections and large load retail customer interconnections, particularly in traditionally-regulated, vertically-integrated states like Indiana. Not only are there longstanding federal and state jurisdictional differences between electric generator interconnections and retail customer interconnections, there are also differences in the potential for discrimination. Transmission service to independent electric generators raises legitimate questions of discrimination for competitive reasons. In contrast, in states like Indiana, utilities have both an obligation and a natural incentive to serve (and interconnect) new customers.

Transmission interconnections for all retail customers, regardless of size, are part and parcel of a utility's provision of retail utility service. States have adequately and efficiently regulated interconnections between their jurisdictional utilities and large load customers for decades. The only difference today is the number of large load customers — mostly data centers — seeking to interconnect and take service. A change in the number of large retail customers seeking interconnection should not drive a major change in jurisdictional boundaries between the federal government and states. The ANOPR also asserts that large load interconnections directly affect wholesale electricity rates, over which the FERC has exclusive jurisdiction under the FPA to ensure wholesale rates are just and reasonable. But the FERC cannot use its “affecting” jurisdiction to regulate where the Federal Power Act has expressly denied FERC jurisdiction. Notably, section 212 of the FPA provides that “[n]o order issued under this chapter shall be conditioned upon or require the transmission of electric energy: (1) directly to an ultimate customer” 16 U.S. Code § 824k(h). Moreover, the impact of large load interconnections affects state retail electricity rates more than wholesale rates. In Indiana, the IEA electric utilities devote the vast majority of their investments and operations to serving their retail customers, not wholesale customers. States such as Indiana are experienced and well-positioned to ensure that all cost components of a utility's retail electric service, including transmission interconnections, translate into just and reasonable retail rates.

Under FPA § 201(b)(1), FERC's jurisdiction extends to wholesale sales and transmission in interstate commerce, but not to “facilities used in local distribution” or to “any other sale of electric energy.” Federal Power Act § 201(b)(1), 16 U.S.C. § 824(b)(1).

States — including Indiana — have long regulated the interconnection of retail customers, cost recovery for upgrades, local reliability planning, and resource adequacy. These activities fall squarely within the states’ exclusive jurisdiction. *Id.* To maintain this balance, FERC’s final rule should explicitly state that it does not apply to utility/customer interconnections involving retail service, even when those retail loads are large in magnitude.

Cost recovery for upgrades that serve retail load growth should remain within state regulators’ ratemaking authority. Assigning such costs under federal tariffs could lead to jurisdictional conflicts and undermine established retail cost recovery mechanisms. FERC should clarify that cost-allocation rules developed in this proceeding will apply only to transmission-level network upgrades (as defined by FERC’s Seven-Factor Test) associated with wholesale, not retail, transactions.

Conclusion

The IEA supports FERC’s commitment to improving the interconnection process for large loads so long as it does so in a manner that preserves the jurisdictional framework established by Congress and affirmed by the courts. The IEA submits that a cooperative federal–state approach will ensure that large-load interconnections occur efficiently, reliably, and lawfully — promoting economic growth while maintaining regulatory boundaries.

For the foregoing reasons, the IEA respectfully recommends, in any final rule, that FERC:

- (1) Recognize that states are proactively and effectively addressing large load customer challenges, including transmission interconnections.
- (2) Explicitly preserve state authority over all retail service.
- (3) Ensure retail cost recovery remains under state jurisdiction.

In addition, the IEA respectfully urges the FERC to continue to focus its efforts on RTO queue reform and encouraging needed transmission investment.

Respectfully submitted,

/s/ Danielle M. McGrath

Danielle M. McGrath

President

Indiana Energy Association

One American Square, Suite 1600

Indianapolis, IN 46282

(317) 632-4406

dmcgrath@indianaenergy.org

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